

Aecon Group Inc. ARE CN

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by

samwise9

			2026	2027
Price:	51.51	EPS	0	0
Shares Out. (in M):	73	P/E	0	0
Market Cap (in \$M):	3,772	P/FCF	0	0
Net Debt (in \$M):	271	EBIT	0	0
TEV (in \$M):	4,043	TEV/EBIT	0	0

Description

Aecon Group Inc. (ARE) - We see 50-80% upside in ARE shares over the next 6-12 months as the story has shifted from a complex special situation to a secular growth story exposed to attractive grid capex and infrastructure tailwinds. At 8.5x our estimate of 2027E EBITDA, ARE is by far the cheapest E&C exposed to these themes and we think recent and upcoming events will drive a rapid re-rate closer to peers. In particular, we think last week's \$1.7bn data center (DC) contract win is transformative as it positions ARE as not just an infrastructure winner, but an AI winner as well.

I. Background

ARE has been written up on VIC twice before, by funkycold87 and komrade.kapital - we encourage readers to reference those for full background and context, but below is a brief recap of the company and its recent history.

ARE is a diversified Canadian construction firm focused on nuclear, utility, civil, industrial, and urban transportation projects. The nuclear and utility segments are the jewel of the business - utility work of electric and gas transmission and distribution is highly comparable to large US players like MTZ and PWR that trade at 20x+ EBITDA, and nuclear is a better business than the US utility firms due to higher barriers to entry, a track record of technical expertise, and a dominant market share in Canadian refurbishment work.

ARE was plagued for years by legacy problem projects, most notably two LRT transit systems in Toronto (Finch and Eglinton) and the Gordie Howe bridge. These projects, which were negotiated pre-COVID under fixed-price contracts, caused significant losses for ARE from 2021-2025 and left the stock trading at sub-5x EBITDA when adjusting for those losses.

As of the last write-up, the thesis was that problem projects were nearly complete, and project completion would shift the market's focus towards the improving underlying business. ARE's new mgmt team has reduced risky fixed-price contracts from 66% of the business in 2020 to ~25% today, and has grown the higher-quality nuclear and utility segments from 26% of the business to 48% in the same timeframe.

	Dec-20	Dec-21	Dec-22	Dec-23	Dec-24	Dec-25
% of TTM Revenue						
Civil	31.0%	26.0%	31.0%	30.0%	32.0%	27.0%
Industrial	25.0%	22.0%	20.0%	20.0%	11.0%	15.0%
Urban Transportation	18.0%	16.0%	14.0%	16.0%	12.0%	10.0%
Utilities	16.0%	20.0%	19.0%	19.0%	22.0%	19.0%
Nuclear Power	10.0%	16.0%	16.0%	15.0%	23.0%	29.0%
% of Nuclear and Utilities	26.0%	36.0%	35.0%	34.0%	45.0%	48.0%
Backlog Contract Type						
Cost Plus / Unit Price	34.0%	36.0%	49.0%	50.0%	58.0%	75.0%
Fixed Price	66.0%	64.0%	51.0%	50.0%	42.0%	25.0%

II: What has changed in last year / why this deserves a new write-up

Problem project resolutions: The last write-up from komrade.kapital pretty much nailed the fact that the stock would jump as problem projects were resolved, with shares having doubled since Jan-25, re-rating from sub-5x EBITDA to 8.5x our 2027E estimate. Two of the three legacy projects (Toronto LRTs) are fully completed, with the third (Gordie Howe) complete from a construction perspective and just waiting for final signoff from the US and Canadian authorities.

1Q results: ARE revenue beat consensus expectations, as they grew revenues 19% YoY. While ARE cautioned the market that quarters are lumpy and that they don't expect to grow ~20% for the full year, we believe their medium-term growth algorithm is at least HSD revenue growth with margin expansion up to 6.5-7.0% vs TTM ~4.7% (note this does not contemplate the data center project win, discussed below).

Preferred stock buyout: Oaktree owned a piece of ARE's utility business via preferred stock. In June, ARE announced that they were buying this stake back. The market's reaction was neutral as bears pointed to ARE buying this back above the preferred carrying value and at an implied valuation of ~13x TTM EBITDA, which is above where ARE trades. However, we view this as a positive as the pref was fairly expensive (12-14% accrual rate), it increases ARE's exposure to the "good" utility / nuclear businesses, and continues to simplify the business.

Data center contract: On July 2 2026, ARE announced they had been selected for \$1.7bn of work (at ARE share) on a Canadian data center. This is a material award due to the size (\$1.7bn), uplift to 2027-2029 EBITDA (we estimate ~\$58mm annually, or ~15% to 2027), and positioning ARE as not just a general power and infrastructure winner, but also as a data center and AI beneficiary.

Given the above, we view ARE as a materially cleaner and more attractive story than last year, and we think it is poised to re-rate closer to peers in the near-term.

III. Valuation / why this should continue to re-rate

We see ARE doing CAD \$450mm of EBITDA next year - see below for build and variance to consensus on topline. We are in-line with consensus on 2026, which will not see much impact from the recent data center contract win, and assume 10% revenue growth (excl. DC contract) plus margin expansion to 6.6% EBITDA margin. We include the full cash balance on ARE balance sheet vs sell-side analysts that exclude cash related to joint operations, which in our view overstates the EV / EBITDA figures that they publish. All figures in CAD \$mm.

	2026	2027	Balance Sheet	
<u>Revenue Projections</u>				
Civil	\$1,630	\$1,761	Cash	(\$507)
Industrial	\$906	\$978	Bank debt	\$294
Urban Transportation	\$604	\$652	LT debt	\$119
Utilities	\$1,147	\$1,285	Current LT Debt	\$45
Nuclear Power	\$1,751	\$1,961	Less: pref paydown	\$320
Total Construction	\$6,039	\$6,638	Net Debt	\$271
YoY Growth		9.9%		
Consensus Revs	\$5,985	\$6,314		
Consensus YoY Growth		5.5%		
<u>Assumed Margins</u>				
Civil	3.1%	3.5%		
Industrial	3.1%	3.5%		
Urban Transportation	3.3%	3.7%		
Utilities	8.1%	8.5%		
Nuclear Power	10.1%	10.5%		
Construction EBITDA Margin	6.1%	6.6%		
<u>Projected EBITDA</u>				
Civil	\$51	\$62		
Industrial	\$28	\$34		
Urban Transportation	\$20	\$24		
Utilities	\$93	\$109		
Nuclear Power	\$177	\$206		
Total Segment	\$368	\$435		
Less: Corporate	(\$41)	(\$44)		
Total Construction EBITDA	\$327	\$392		
New DC Revs		\$486		
DC Margin		12.0%		
Assumed DC EBITDA Uplift		\$58		
Total Projected EBITDA		\$450		

On virtually any framing, ARE remains extremely cheap relative to peers and to the growth opportunities ahead. With US peers like MTZ and PWR trading at 20x and 28x, respectively (albeit with faster growth), we think ARE's current 8.5x 2027E EBITDA is far too low. In our base case, we see ARE trading up to ~14x EBITDA. We contextualize this by comparing to peers and using a SOTP approach on the different segments - the below catalyst section covers the events which we think will drive the re-rating.

Utility / nuclear segment: We think the utility segment is similar to US peers and the nuclear business is flat-out better due to the complexity / moat. This constitutes over 50% of ARE total EBITDA since margins are higher for these segments than the rest of the business. MTZ is the best comp and trades at 20x 2027E EBITDA, with PWR trading at 28x though has earned a premium for nearly a decade of operational excellence. We don't think CTRI is a great comp at this stage for reasons outlined in our other write-up (operational turnaround + smaller-project MSA work), and PRIM figures are skewed due to their recent cost overruns on solar projects. MTZ grows faster than ARE and is US-listed (no Canada discount) but has more fixed-project risk and no exposure to the nuclear business - we think these factors offset, but out of conservatism we would apply a 18x multiple here. While at first glance this could appear high for a smaller, Canada-listed E&C, we think the secular tailwinds in the power infrastructure space and ARE's dominant market share in Canadian nuclear warrant a valuation in-line with US peers.

Other construction segment: The civil, industrial, and urban transportation businesses ("other" businesses for shorthand) are lower-margin and have less of a moat / secular growth story. That said, they are still the beneficiary of rising infrastructure spending in Canada and the business has been de-risked with more cost-plus contracts. We view BDT as a good comp for these segments at 10.5x EBITDA, which has recently won data center work but has no exposure to the more attractive utility / nuclear segments. As such, we apply a 10x multiple to this segment and conservatively value the new data center EBITDA at this multiple as well.

The blended multiple works out to ~15x from the below math, which we knock down to ~14x with added conservatism / a slight "conglomerate discount" for the different segments here.

Utility + Nuclear EBITDA	284
Multiple	18.0x
Utility + Nuclear EV	5,105
Other EBITDA	108
DC New EBITDA	58
Total Other EBITDA	166
Multiple	10.0x
Other Construction EV	1,662
Total EV	6,767
Total EBITDA	450
Blended Applied EV / EBITDA	15.0x
Downward Adj	-1.0x
New Applied EV / EBITDA	14.0x

Note that at current trading levels, applying 18x to the nuclear / utility segments means you are getting paid to own the remaining profitable construction business that just won a massive data center contract - not creating at a cheap multiple, not getting for free, you are getting PAID to own it. We think the market will recognize this and will re-rate the business accordingly.

Stock Px	\$51.50
FDSO	73
Mkt Cap	3,772
Plus: Net Debt	271
Total EV	4,043
Less: Utility + Nuclear EV at 18x	5,105
Implied Value on Remaining Construction	(1,062)

See below for sensitivity analysis around the applied blended EBITDA multiple. At the current price and in the valuation ranges highlighted (13-15x EBITDA), we see 50-80% upside.

Applied Multiple	17.0x	16.0x	15.0x	14.0x	13.0x	12.0x	11.0x	10.0x
Current Trading	17.0x	16.0x	15.0x	14.0x	13.0x	12.0x	11.0x	10.0x
Px	\$51.50	\$104.12	\$97.98	\$91.83	\$85.69	\$79.55	\$73.41	\$67.27
Upside	102.2%	90.2%	78.3%	66.4%	54.5%	42.5%	30.6%	18.7%
FDSO	73	73	73	73	73	73	73	73
Mkt Cap	\$3,772	\$7,628	\$7,178	\$6,727	\$6,277	\$5,827	\$5,377	\$4,927
Net Debt	\$271	\$271	\$271	\$271	\$271	\$271	\$271	\$271
Enterprise Value	\$4,043	\$7,897	\$7,447	\$6,997	\$6,548	\$6,098	\$5,648	\$5,198
Less: Concessions Assets	(\$250)	(\$250)	(\$250)	(\$250)	(\$250)	(\$250)	(\$250)	(\$250)
Construction EV	\$3,793	\$7,647	\$7,197	\$6,747	\$6,298	\$5,848	\$5,398	\$4,948
2027 EBITDA pre DC Contract	\$390							
EV / EBITDA pre DC Contract	9.7x							
2027 EBITDA post DC Contract	\$450							
EV / EBITDA post DC Contract	8.4x	17.0x	16.0x	15.0x	14.0x	13.0x	12.0x	11.0x
Prices	Upside							
\$50.00	108.2%	96.0%	83.7%	71.4%	59.1%	46.8%	34.5%	22.3%
\$51.00	104.2%	92.1%	80.1%	68.0%	56.0%	43.9%	31.9%	19.9%
\$52.00	100.2%	88.4%	76.6%	64.8%	53.0%	41.2%	29.4%	17.6%
\$53.00	96.4%	84.0%	73.3%	61.7%	50.1%	38.5%	26.0%	15.3%
\$54.00	92.8%	81.4%	70.1%	58.7%	47.3%	35.9%	24.6%	13.2%
\$55.00	89.3%	78.1%	67.0%	55.8%	44.6%	33.5%	22.3%	11.1%

We view downside as limited given where the peers trade – if 2027 EBITDA is lower than our estimates at \$400mm (~10% lower than our base case), and the stock trades to ~10x 2027 EBITDA (lower than all peers), there is still ~5% upside vs current levels.

IV. Catalysts to re-rate to base case valuation (all of which are next 6-12 months or sooner)

Data center win digestion: The recent data center win and subsequent raises to 2027-2029 numbers will drive continued buying - we think the data center win is a ~15% uplift to 2027E EBITDA, and the stock is not even up 15% vs pre-announcement levels yet, implying the multiple has actually contracted. We think this is partly a function of holiday timing around the July 2 announcement (July 1 Canada day on Wednesday, July 3 markets closed on US) and that this will re-rate higher quickly over the next few days - the announcement establishes ARE as an infrastructure AND AI / data center winner which should drive multiple expansion, certainly not compression. We think this contract and other sell-side notes calling attention to ARE as a growth platform exposed to these attractive themes will drive the valuation closer to the levels we lay out in our base case.

Margin expansion: ARE disclosures are messy due to the legacy problem projects, and margins have also been compressed from recent losses on certain civil projects in Western Canada. Management believes the business is currently run-rating ~6.5% EBITDA margins, but the market will need to see that show up in earnings to give credit for it and the higher earnings profile – we believe this will happen within the next year as the Western civil projects are effectively done as well, giving ARE management more credibility on execution and profitability.

Gordie Howe completion: While the last legacy problem project has somewhat faded out of focus from the narrative since construction is done, from our conversations with management this remains a consideration for certain investors particularly on the LO side. So many investors were burned from 2021-2025 by losses from the projects that they simply won't touch the stock until everything is 100% complete. Construction is done here and while timing is subject to political risk with negotiations between the US and Canada, neither side wants a brand new bridge sitting unopened and we'd expect this to occur within the next six months). It will be a positive for ARE to announce that they are finally 100% done with all the legacy projects, and we would not be surprised to see an investor day sometime in 1H27 to showcase ARE as a growth platform freed from past issues.

V: Risks

Lower growth vs peers: Our view of the rough growth algo pre-DC contract win was HSD revenue growth and EBITDA margin expansion to get to ~6.5-7.0%. While solid, this is a slower growth profile than some of the long-term targets peers have published, such as MTZ targeting 25% EBITDA growth through 2028.

- Mitigant: ARE management has consistently been conservative in their recent commentary, wanting to avoid disappointing investors at all costs after years of struggle with the legacy problem projects. We think they can outperform our underwriting and grow closer to the US utility peers - this would likely warrant even higher multiples which we have not underwritten in our base case.
- Mitigant: Our analysis does not call for them to trade as rich as a peer like MTZ - 14x EBITDA is still a material discount and in our view provides compensation for the perceived lower growth.

Mega-project risks: ARE is still a construction firm - there can still be cost overruns on projects that drive margin compression or even losses.

- Mitigant: ARE mgmt is laser-focused on mitigating risk following the legacy projects - this can be seen from them moving backlog to 75% cost-plus projects. We don't think they will ever get to zero risk, but they are reserving fixed-price bids for smaller contracts that would not have the same scope or consequence as the legacy projects if something went wrong.

Gordie Howe delay: Gordie Howe has been in the headlines recently, with the US threatening to block the opening of the bridge. Prolonged political discussions could delay the opening further, which would delay ARE's ability to say they are fully past all the problem projects.

- Mitigant: As noted above, we don't think the US or Canada want a situation where billions have been spent on this bridge and it sits unused for a long time - we think these discussions will get resolved in the next few months.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

See above catalysts section

Messages

Subject great writeup
Entry 07/06/2026 08:06 AM
Member johnnyutahFBI

Biased, as I'm also very long here, but thought you articulated the thesis well and succinctly.

Subject Margins and net working capital
Entry 07/07/2026 07:05 AM
Member erst1071

The valuations of these companies in North America is just crazy... in Europe you got these for sub 5x EBITDA a couple of years ago, having re-rated a lot in recent years.

However... how do you expect the margins to shift now that the company is shifting to fixed price contracts? In Europe, you expect to see a material margin compression as the contractor takes less risk.

Secondly, how is the working capital cycle? Over here, there is a material pre-payment from the customer that should be adjusted for when valuing based on enterprise value.

Subject Re: Margins and net working capital
Entry 07/07/2026 07:28 AM
Member Rtg123

Who are these European E&Cs?

Subject Re: Re: Margins and net working capital
Entry 07/07/2026 09:51 PM
Member erst1071

Heijmans in holland is the one I have had the most success with, the lower quality peer BAM has also been on a tear.

Then you have the German ones that went on a tear after the government decided to lift the limit on government borrowing.